

2/23 - 2/27

CAVEMANS MARKET

The final week of February came to a rough close as stocks dropped after inflation data came in hotter than expected. Higher wholesale prices raised concerns that inflation is still persistent, adding pressure to an already uneasy market. With inflation, labor market concerns, and uncertainty around Federal Reserve policy, the Nasdaq ended the month with its worst performance in nearly a year.

AI LEADERS STUMBLE!

WEAK GUIDANCE AND VALUATION CONCERNS SPILL INTO SMALL-CAPS

Although CoreWeave doesn't neatly fit the traditional definition of a small-cap stock, its reaction matters for that segment. Companies earlier in their growth cycle — especially those tied to AI infrastructure — often rely on heavy upfront investment and optimistic long-term projections. When markets shift toward caution, these high-spending, high-valuation models face sharper scrutiny.

CoreWeave ended Friday at \$79.56, plunging more than 18% as investors reacted negatively to its fourth-quarter update and forward outlook. While revenue more than doubled, the company posted deeper losses and projected softer-than-expected first-quarter sales. Even more concerning to the market was management's plan to dramatically increase capital expenditures — with billions slated for near-term infrastructure expansion and as much as \$35 billion projected for the year.

The scale of that spending raised questions about cash flow timing, leverage risk, and how quickly its sizable backlog can convert into profitable revenue. Trading volume surged to more than double its recent average, signaling institutional repositioning rather than routine volatility.



Nuclear Small Caps Quietly Set Up for the Next Growth Wave

While AI mega-caps cool off after an explosive run, a different opportunity may be forming beneath the surface — nuclear energy, particularly among smaller-cap names tied to advanced reactor development and infrastructure buildout.

Artificial intelligence isn't slowing down, but investor enthusiasm around the biggest chipmakers and cloud providers appears to be taking a breather.

Valuations are stretched, earnings expectations are high, and capital spending concerns have introduced volatility. When leadership pauses, capital often rotates — and energy may be the next stop.

The real bottleneck for AI isn't algorithms — it's electricity. Data centers require enormous, constant power loads, and forecasts show U.S. electricity demand climbing to record highs over the next few years. Traditional renewables alone may struggle to meet that scale reliably. That's where nuclear, particularly small modular reactors (SMRs), enters the conversation.

Unlike legacy nuclear projects, newer reactor designs are smaller, factory-built, and designed for faster deployment. If policy momentum accelerates approvals and incentives, smaller publicly traded nuclear developers and component suppliers could see outsized growth relative to their size. These companies may not yet command mega-cap valuations, but they are positioned directly in the supply chain of what could become a multi-decade infrastructure cycle.

Importantly, nuclear small caps represent a "picks-and-shovels" approach to the AI boom. Rather than betting solely on software or semiconductor margins, investors gain exposure to the physical backbone powering the digital economy. If AI spending moderates while energy demand continues climbing, capital could increasingly flow toward companies building generation capacity. In past market cycles, leadership shifts often begin quietly. With AI stocks digesting gains and electricity demand surging, nuclear-focused small caps may be setting up for their own expansion phase — driven not by hype, but by the hard constraint of power supply.

Small Cap Nuclear Stocks

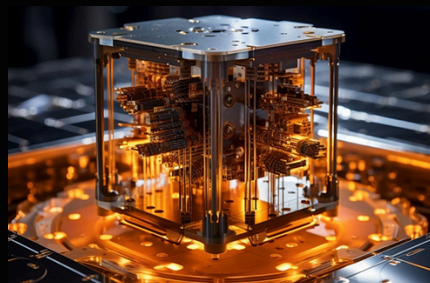


Nano Nuclear Energy, Inc.
(NASDAQ: NNE)



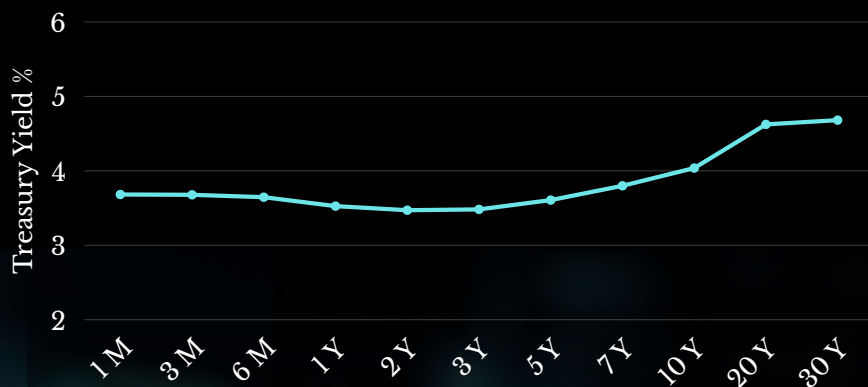
NuScale Power Corporation
(NYSE: SMR)

Sectors Facing a Downturn



- Companies like IonQ have remained under pressure as revenue remains limited relative to lofty long-term expectations.
- With high research costs and extended commercialization timelines, investors are becoming less willing to pay premium valuations without near-term earnings visibility.
- Space-focused names such as Rocket Lab and Virgin Galactic continue to face headwinds.
- Capital-intensive operations, funding needs, and uncertain demand cycles have contributed to ongoing weakness across the group.

Treasury Yield Curve Feb 2026



MARKET STATE



PPI

+ 2.9 %

+ 3% Dec 25



UNEMPLOYMENT

4.3 %

4.4 % Dec 25



CPI

2.4 %

2.7 % Dec 25



GDP

1.4 % Q4

4.4 % Q3



S&P PE

29.55

29.55 Jan 26



PCE

+ 2.9 %

+2.8 % Nov 25

FISCAL POLICY



Solid job growth and a steady unemployment rate point to resilience, influencing government budget and stimulus considerations.



Gains in energy, materials, and consumer staples may align with broader infrastructure, commodity, or domestic economic priorities.



Outsized earnings growth from mega-cap firms highlights ongoing debates around taxation, regulation, and economic concentration.

MONETARY POLICY



Stronger-than-expected inflation readings reduce the likelihood of near-term rate cuts and keep pressure on the Fed to remain cautious.



The drop in the 10-year yield suggests investors expect slower economic momentum, increasing speculation about future monetary easing.



Alternating weekly gains and losses show investors are reacting to unclear signals about the Fed's next move.

Going Forward

Although geopolitical crises have historically had limited impact on Wall Street's performance—illustrated by the subdued market response to last year's Iranian nuclear facility airstrikes and the brief political turbulence in Venezuela—analysts caution that this situation could carry unique risks. The killing of Iran's Supreme Leader, Ayatollah Ali Khamenei, has introduced uncertainty over the nation's political stability and the possibility of a protracted conflict in the region.



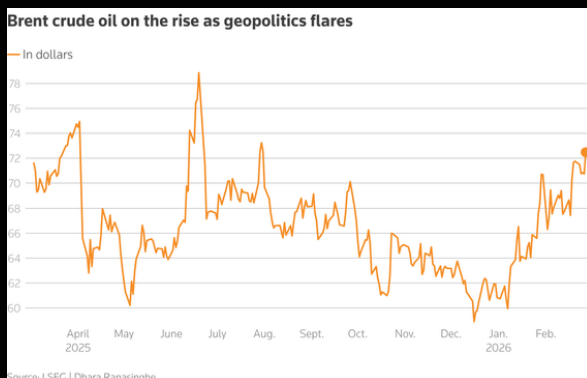
Global markets faced heightened uncertainty following the joint U.S. and Israeli military strikes against Iran, which triggered immediate disruptions across energy supply chains, shipping lanes, and commodity markets. Investors prepared for potential volatility, with S&P 500 futures signaling a modest downward adjustment of roughly 1% on Sunday evening.



Oil markets reacted sharply, with prices surging due to concerns over tanker traffic through the Strait of Hormuz and potential supply constraints from Iran. Safe-haven assets like gold and U.S. Treasuries also gained traction, reflecting investor caution. While some experts believe any market selloff may be temporary and expect prices to stabilize once tensions ease, others warn that an extended conflict could exacerbate inflation and strain global financial markets.

On the humanitarian and political fronts, Iranian authorities reported significant civilian casualties, while missile and drone attacks forced Israeli residents to seek shelter amid limited bomb protection infrastructure. In the United States, political debate intensified, with calls for Congress to review the president's authority to conduct military operations without explicit approval. Meanwhile, Iranian-American communities expressed cautious optimism that the strikes could lead to the end of long-standing repression in Tehran.

Global leaders have called for restraint, though reactions vary, underscoring the unpredictable nature of the crisis. The coming days are expected to test both market resilience and the international community's diplomatic responses.



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